

Project Proposal: Evaluating the Impact of Startup Fundamentals and Investor Prestige on Exit Success

Research Objective:

This project aims to identify the key factors that lead to a startup "exit" (defined as an IPO or acquisition). The study will explore the tension between a startup's internal **fundamentals** (revenue, growth, and efficiency) and its external **prestige** (the reputation and track record of its lead investors). The goal is to develop a predictive model that determines whether financial health or investor influence is a stronger indicator of long-term success in the venture capital ecosystem.

Data Acquisition and Collection:

The data will be sourced from the **Startup_Valuation_Dataset (2010–2024)** available on Kaggle. Collection involves extracting a structured set of 50,000 records that simulate real-world global funding activity. Early-stage project work will focus on data cleaning and feature engineering—specifically, converting raw operational metrics into performance ratios and transforming investor names into prestige rankings based on their historical exit success within the dataset.

Characteristics of the Data:

The dataset provides a comprehensive, longitudinal view of the startup landscape over the last 15 years.

- **Sample Size:** 50,000 unique startup records across multiple global regions.
- **Target Variable:** A binary "exited" status (True/False), with a 15% success rate (approx. 7,300 exits), providing a statistically significant sample for classification.
- **Key Features:** The data includes 17 primary columns covering:
 - **Metadata:** Startup name, industry (e.g., AI/ML, Fintech), and region.
 - **Financials:** Funding round type, funding amount in USD, estimated revenue, and valuation.
 - **Operational Metrics:** Founding year, employee count, and specific industry tags.
 - **Investor Data:** Lead investors and co-investor networks.